

+ Prime focus

Tomato growers turn passion into sustainable ag business

QRIDA Clients, Troy & Vicki Muller, in their green house funded with a Sustainability Loan from QRIDA. Photo courtesy of Thru a Lens



Since the greenhouse expansion the Mullers are able to rotate a variety of crops. Troy estimates that the business has grown roughly 30-40% with the extra space making their business sustainable.

“The extra greenhouse has enabled us to produce enough Heirloom tomatoes to expand our current Brisbane and interstate market sales.”

“... with the help of QRIDA we were able to become more sustainable long term”

“It’s hard work and you need to separate yourself from the crowd. For us it was our unique, flavoursome produce along with outstanding quality that gave us an edge, a real point of difference. Then with the help of QRIDA we were able to become more sustainable long term.”

“I’d recommend QRIDA to those seeking assistance. With our children now grown up and enjoying being involved the business, we may seek QRIDA’s support in succession planning one day,” Troy said.

Sustainability Loans are an initiative of the Queensland Government’s Primary Industry Productivity Enhancement Scheme administered by QRIDA.

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With their passion for quality and flavoursome produce, and the help of a Sustainability Loan from the Queensland Rural and Industry Development Authority (QRIDA), tomato growers Troy and Vicki Muller have successfully developed an exciting business venture.

Proud owners of Peak Veggie Patch located at Peak Crossing just outside of Ipswich, Troy and Vicki started out growing their own specialty Heirloom tomatoes as a hobby and packaged some on weekends to sell at farmers markets in Brisbane, with any extra going to local fruit shops.

“We had fantastic feedback from our customers whilst doing what we were passionate about and soon realised our hobby had turned into a strong and growing market,” Troy said.

Troy had a strong background in the fresh produce industry, being the son of a fruiterer, studying horticulture and previously working as a vegetable seed representative for 25 years.

Troy’s career took him throughout Australia and overseas and involved looking for suitable seed varieties for Australian growing conditions. When looking at their own businesses, Troy and Vicki knew they wanted to expand.

“We were doing well but realised we weren’t big enough and, to make the business viable and sustainable, we needed to expand our farming operation by increasing our existing greenhouse production capacity,” Troy said.

The Mullers decided to build a third, larger greenhouse on their property with the assistance of a Sustainability Loan and, when applying for the finance, it was the business support QRIDA offered that really stood out.

“They made us sit down and look at our business and create a strong plan moving forward. QRIDA made us really look at what we were doing, where we are going and potentially what we could do.”

From the CEO's desk

It's hard to believe that 1 July marked one year since our name change from QRAA to the Queensland Rural and Industry Development Authority (QRIDA).

And true to our new mandate and broader function that came as a result of our new name, our first year as QRIDA has seen us 'doing more' and making key contributions to rural and regional Queensland.

Of note, we approved 3,974 grants and loans valued at \$154.8 million across our range of programs in 2017-2018.

The support we've provided is particularly relevant given the challenges and unpredictable circumstances many of our clients have continued to face over the past 12 months – including difficult drought conditions, mixed commodity prices and natural disasters.

We approved 228 applications for a net value of \$100 million across our First Start and Sustainability Loans.

This represents a huge investment in Queensland's primary industries and has provided the means for many families to make a start in primary production or develop their existing businesses.

It's encouraging to see the average age of First Start Loan applicants was 36 years – signaling we are helping the next generation of young producers make their farming dreams a reality.

I'm also proud of the key contributions we've made to the state's agricultural sector through our other programs and activities during our first year as QRIDA.

This has included:

- providing more than \$947,000 in Farm Management Grants for 548 producers and their families to address succession plans
- administering the Farm Business Debt Mediation program which saw over 70 mediation matters mitigated



QRIDA CEO Cameron MacMillan (second from right) visiting QRIDA clients Craig & Rebecca Beissel (centre front) with the QRIDA Board & Roma Regional Area Manager Tony Koch (left)

between farmers and mortgagees, with 45 still in progress

- launch of the Farm Debt Restructure Office to help producers in financial distress access expert financial information and analysis on their farm business
- delivery of the 2017 Queensland Rural Debt Survey (detailed on page 3)
- participation in Australia's national beef expo, Beef Australia 2018.

As August rolls around we are now gearing up for another major event on the rural calendar – see you at the Ekka!

- Cameron MacMillan

Productivity Loan Approvals 2017-2018*

\$100 million

228 primary producers

* Productivity Loans include both First Start and Sustainability Loans. Figures represent total net approved loans for 2017-2018.

First Start Loans 2017-2018*

109 approved applications

22 age of youngest approved applicant



\$60m approved loans

36 average age of approved applicants

* Figures represent total net approved First Start Loans for 2017-2018.

Client stories

Want to read more about how clients like Kate and Garrett Kirk from Dingo (pictured) have used our low interest First Start and Sustainability Loans to enter into primary production or improve their agribusiness' profitability and long term sustainability?

Our website has video and written client stories detailing how producers from a variety of industries and regions across Queensland have taken advantage of these loans to achieve their farming goals.

Access these stories at www.qrida.qld.gov.au/news-and-events/client-stories.



Photo courtesy of Mad Dog Productions

Queensland rural debt \$17.2 billion in 2017

The 2017 Queensland Rural Debt Survey reports that total rural debt in Queensland was \$17.2 billion as at 31 December 2017 (up 1.6% since 2011), with average debt per borrower down 12 per cent to just under \$1 million.

Recently launched by the Minister for Agricultural Industry Development and Fisheries, Mark Furner, the survey offers a comprehensive breakdown of the value and quality of rural debt and the number of borrowers by industry and regions across Queensland. As such, it provides an important snapshot of the financial state of Queensland's rural industries and will help inform both government and industry.

Encouragingly, overall rural debt in Queensland has only increased marginally since the last survey was undertaken in 2011; the 2017 survey also indicates that quality of rural debt has improved since 2011 with 95 per cent of the total value of rural debt rated viable (rating 'A') or potentially long term viable (rating 'B+') up from 85.9 per cent in 2011.

The four industries with the largest proportion of rural debt in Queensland were:

- Beef at \$9.4 billion (or 54%)
- Cotton at \$1.3 billion (or 8%)
- Sugar at \$1 billion (or 6%)
- Grains at \$0.93 billion (or 5%).

From a regional perspective, the Western Downs and Central Highlands region represented \$5.5 billion or almost 32 per cent of total rural debt in Queensland, followed by the Southern Coastal Curtis to Moreton region (\$4 billion or 23%) and Eastern Darling Downs region (\$2.5 billion or 14%).

QRIDA undertook the 2017 survey in collaboration with the Queensland Government Statistician's Office (QGSO) and with the support of all major rural lenders in Queensland and insights from agricultural industry associations.

For more detailed results, download the 2017 Rural Debt Survey overview, full report and technical review at www.qrida.qld.gov.au/rds2017.



Download the 2017 Rural Debt Survey at www.qrida.qld.gov.au/rds2017

Total debt
\$17.2 billion
+1.6% compared to 2011 (\$16.98b)

Number of borrowers
18,335
+16% compared to 2011 (15,822)

Helping farming families plan for the next generation

Queensland farming families are using QRIDA's Farm Management Grants to tackle succession planning and provide opportunity for the next generation to get into the family business sooner.

The grants provide a rebate of up to 50 per cent of the amount paid for professional advice associated with succession planning, to a maximum of \$2,500 for each financial year of the scheme.

"Without Farm Management Grants, we wouldn't have started succession planning for another 10 years."

In 2017-18, QRIDA helped 548 producers and their families start conversations about succession and plan for the future. With no one size fits all approach, expert advice is important for your business' future.



Being proactive and having discussions around succession assisted canegrower Gary Spotswood and his family in their business, Mt Alma Fresh Organics.

"QRIDA helped my wife and I begin a conversation with my parents and their accountant about succession. Without Farm Management Grants, we wouldn't have started succession planning for another 10 years," Gary said.

Those interested in taking over the reins of the family farm are encouraged to take advantage of the grants and seek advice for their business.

Applications can be completed online at www.applyonline.qrida.qld.gov.au.

For more information on the grants and how to apply **Freecall 1800 623 946** or visit www.qrida.qld.gov.au.

+ Regional update



Sam Spina
Far North
P: 07 4064 2824
M: 0429 497 757
sam.spina@qrida.qld.gov.au

Assistance available from Cairns to Ingham

Primary producers and small businesses in the areas flooded within Cairns, the Cassowary Coast and Hinchinbrook during March can access concessional loans to assist with repairs, replanting and to cover cash-flow shortfalls caused by the event.

Loans of up to \$250,000 are available to businesses that incurred direct damage and loans up to \$100,000 are available to businesses impacted but with no damage. Interest rates are 1.32% and are designed to assist with a timely recovery. I'm available to meet you on farm or at a venue that suits you to discuss your application.



Peter Crowley
North
P: 07 4967 0728
M: 0427 770 147
peter.crowley@qrida.qld.gov.au

Improved conditions create opportunity

Mackay is experiencing a significant improvement in the local economy with low unemployment and a renewed vigour in a number of industries. This bodes well for local farming families. Off-farm work provided by mining and allied industries provide a great platform for the next generation of farmers to build savings and use their stable income to look at purchasing or leasing their first farm.

QRIDA has a strong record of supporting young farmers into their first block whilst working off-farm. It's important to have a plan and I can help you with this as you consider your options to become a full-time primary producer.



Kate Dunk
Darling Downs and Lockyer
P: 07 4634 8987
M: 0427 690 448
kate.dunk@qrida.qld.gov.au

Professionals support succession

It's pleasing to see the number of local families accessing Farm Management Grants from professionals throughout my region. These grants assist farming families with the cost of succession planning.

Any family member receiving farm succession advice is eligible to apply for a grant to the value of 50% of invoices up to \$2,500 - whether it be preliminary advice or finalisation of the plan from your accountant, solicitor, business consultant or succession planning specialist.

Now is the time to start talking succession with your family.



Mark Barrett
Wide Bay and Fraser Coast
P: 07 4154 2874
M: 0417 775 547
mark.barrett@qrida.qld.gov.au

Growers making the most of their first start

It's encouraging to see many local First Start clients we've assisted in the past achieving so much in their chosen commodities. Clients I've worked with came to us in their early twenties with a plan and desire to make a success in farming. Now, 10 to 15 years later, they are some of the most successful vegetable and cane growers in the region.

Land prices in the Bundaberg region can be a hurdle to get into farming but our First Start Loan can assist you with a staged progression to full time production. We can also partner with commercial lenders to achieve the best outcome for you - it's fair to say everyone in the region wants to foster opportunity for the next generation.



Cynthia Godden
Burnett and Sunshine Coast
P: 07 4182 1816
M: 0417 778 317
cynthia.godden@qrida.qld.gov.au

Sustainability Loans help diverse industries

It's been encouraging to support so many industries with Sustainability Loans since I took on this role earlier this year. Financing new irrigation systems for fodder producers in the Burnett and fruit and nut growers on the Sunshine Coast has delivered more efficient water usage and lower power costs. Dairy farms near Gympie have upgraded their milking sheds, reduced energy use, improved herd health and reduced labour costs, while North Burnett graziers have invested in improved livestock handling equipment to reduce livestock stress.

If you want to improve your bottom line, contact me to discuss how QRIDA can help.



Bradley Whittington
Central Highlands and West
P: 07 4987 5807
M: 0417 775 345
bradley.whittington@qrida.qld.gov.au

Wool delivers returns despite tight conditions

Graziers in the western parts of my area have received the best prices in a generation for their wool clip. Buoyed by the benefits of predator fencing, a number of clients have restocked or transitioned to Merinos and the benefits are great. Not only have they diversified their income stream but they've also found a ready market for any surplus sheep both locally and interstate. Predator fences provide both an environmental and economic benefit with improved ground cover, less run-off and increased lambing percentages.

Contact me to discuss how a Sustainability Loan can help your enterprise realise these benefits.



Tony Koch
Maranoa and South West
P: 07 4622 8527
M: 0427 029 141
tony.koch@qrida.qld.gov.au

Fresh eyes for dealing with tough times

Conditions in my area have remained dry, especially in the South West. Graziers who are in financial distress can access a free service from the Farm Debt Restructure Office to analyse their farm business and provide solutions to assist with debt restructuring. This report is independent, prepared by leading debt specialists and provides options for producers to consider the best way forward for their business. There's no requirement to act on the recommendations and the report remains the property of the producer.

The Farm Debt Restructure Office is situated in Roma - enquiries should be directed to Daniel Elder by phoning 0400 228 677.



John Metelli
Capricornia
P: 07 4936 1872
M: 0417 775 245
john.metelli@qrida.qld.gov.au

Let's get our boots dirty

Having been in the role for three months now I have had the opportunity to meet with many producers and fishermen throughout the region. Temporary offices held in Biloela were successful and more offices are planned for Theodore in August.

When assisting clients with loan applications it's great to get out on farm and see first hand how your plans will benefit your enterprise. This also helps with finalising your management plan and ensuring we look at the best possible funding option. Call me today to discuss your plans - I am keen to visit you on farm and help with your application.



Janessa Bidgood
North West & Gulf
P: 1800 623 946
M: 0427 007 240
janessa.bidgood@qrida.qld.gov.au

Opportunity to boost your stock numbers

I've now been with QRIDA for 12 months and being a local it's been great to have assisted producers in the area and make a difference to their business.

A pleasing aspect of this year's achievements is the number of young cattle producers we've helped increase their herd size with First Start Loans. We understand there are a number of ways to build up to full-time viable production and building equity in your cattle herd whilst leasing country is one way. We'll consider using your existing herd as security and look at your longer term plans to assist. It's important not to self assess - call me to find out more.

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